

Caterpillar Inc. (NYSE: CAT)

Credit Memo — Senior Unsecured — FY2020–FY2024

Prepared by Tianxing (Jack) Hu

June 2026

Issuer ratings (senior unsecured): Moody's A2 (Positive) · S&P A (Stable) · Fitch A+ (Stable) — *per CAT Free Writing Prospectus, SEC EDGAR, May 2025*

1. Summary & Credit View

Caterpillar is a high-quality, investment-grade industrial credit whose **consolidated leverage materially understates the strength of its industrial operations**. Consolidated net debt/EBITDA was ~2.1x at FY2024 (down from ~4.0x at FY2020), but **almost all of that debt sits in the captive finance arm** (Cat Financial / Financial Products), which is run at finance-company leverage by design. Stripping it out, the industrial entity — Machinery, Energy & Transportation (ME&T) — carries net debt of only **~\$2.4bn against ~\$14.5bn of EBITDA (~0.2x net leverage)**, while generating **~\$9.5bn of free cash flow** after capex, with interest coverage near 28x.

The credit question for CAT is therefore not the industrial body but (i) the through-cycle earnings of cyclical end-markets and (ii) the leverage and asset quality of Financial Products. The analysis below is consistent with the high single-A ratings the company carries.

2. Business Profile

CAT is the world's largest manufacturer of construction and mining equipment, with diesel and natural-gas engines, turbines and locomotives, organized in three industrial segments — Construction Industries, Resource Industries, and Energy & Transportation — plus Financial Products (captive finance). Revenue is globally diversified but cyclically exposed to construction, mining/commodities, and energy capital spending. Total sales and revenues grew from \$41.7bn (FY2020) to a peak of \$67.1bn (FY2023), easing to \$64.8bn (FY2024); operating profit nearly tripled over the period to ~\$13.1bn. Scale, a large installed base and aftermarket/parts revenue, and the captive finance offering are the principal competitive supports; cyclicity is the principal credit constraint.

3. Financial Profile — ME&T versus Consolidated

The single most important step in a CAT credit is **separating ME&T (industrial) from Financial Products (FP = Cat Financial + insurance)**. The two have opposite balance-sheet logic: ME&T is an industrial issuer that should carry modest leverage; FP is a lending business that funds a receivables book and is necessarily debt-heavy. Reading consolidated debt alone blends the two and overstates industrial risk.

Metric	2020	2021	2022	2023	2024
Total sales & revenues (\$bn)	41.7	51.0	59.4	67.1	64.8
Operating profit (\$bn)	4.6	6.9	7.9	13.0	13.1
Consolidated net debt / EBITDA (x)	4.0	3.1	3.0	2.1	2.1
ME&T net debt / EBITDA (x)	0.4	0.2	0.4	0.2	0.2
ME&T interest coverage (x)	11.6	16.2	20.0	27.4	28.3
ME&T free cash flow (\$bn)	3.1	6.1	5.1	10.1	9.5
FFO / total debt (%)	15	23	24	33	34

Metric	2020	2021	2022	2023	2024
Financial Products debt / equity (x)	5.6	6.6	6.8	6.4	7.0

ME&T methodology note: operating profit uses the supplemental consolidating figure (not the segment sum, which includes ~\$1.3bn of corporate items); interest coverage uses ME&T interest (the consolidated "interest excluding Financial Products" line). FFO is a profit-plus-D&A proxy.

On the verified figures, ME&T debt fell from ~\$11.2bn (FY2020) to ~\$8.6bn (FY2024) — **genuine deleveraging** — and net of ME&T cash the entity runs net debt of only ~\$1.4–3.6bn across the period, i.e. ~0.2–0.4x ME&T EBITDA. ME&T free cash flow (operating cash flow less capex) was ~\$9.5bn in FY2024 and ~\$10.1bn in FY2023, comfortably covering the ~\$2.6bn common dividend. ME&T interest coverage improved from ~12x (FY2020) to ~28x (FY2024); FFO/total debt rose from ~15% to ~34%. By contrast, consolidated net debt was roughly flat at ~\$28–32bn because FP grew its book. Normalizing FY2022 for the \$0.9bn Rail/Longwall goodwill impairment reduces FY2022 adjusted net leverage to ~2.7x from ~3.0x reported — a reminder that headline FY2022 metrics carry a non-cash charge.

4. Cat Financial / Financial Products

Financial Products is the reason consolidated leverage looks elevated. FP debt rose from ~\$26.0bn (FY2020) to ~\$29.8bn (FY2024), and FP debt/equity sits at ~7.0x at FY2024 (up from ~5.6x at FY2020) — high, but normal for a captive finance subsidiary supporting equipment sales. Critically, **asset quality has improved markedly since COVID**: past dues fell from 3.49% (FY2020) to 1.56% (FY2024), the allowance for credit losses from 1.77% to 0.91% of finance receivables, and net write-offs from \$222mm to a \$46mm trough (FY2022) before normalizing to \$115mm (FY2024). FP also upstreams dividends to the parent (\$320mm / \$850mm / \$475mm / \$425mm / \$625mm over FY2020–FY2024) — a source of parent liquidity, but a flow to monitor because it is discretionary and reduces FP's own capital cushion.

5. Liquidity & Covenants

Cat Financial maintains substantial covenant headroom. At 12/31/2022 (the most recent figure verified from the FY2022 Form 10-K), covenant interest coverage was **2.36x against a 1.15x floor**, the six-month covenant leverage ratio was 7.05x, and consolidated net worth was \$15.93bn against a \$9.00bn minimum. A \$4.62bn credit facility supports liquidity, with the relevant tranche expiring September 2027. **Watch item**: the interest-coverage covenant is sensitive to funding cost; as benchmark rates rose materially after 2022 the ratio has likely compressed from 2.36x, and quantifying the FY2023/FY2024 path is the natural next refinement.

6. Key Risks & Watch Items

- 1 Cyclicity.** Construction, mining/commodities and energy capex drive earnings; a downturn compresses ME&T cash flow and raises FP delinquencies at the same time.
- 2 Financial Products leverage & asset quality.** FP debt/equity has risen to ~7x; asset quality is currently strong but is the first place a macro slowdown appears.
- 3 Covenant interest-coverage trend.** Strong at 2.36x in FY2022 but rate-sensitive; confirm the FY2023/FY2024 path.
- 4 Dividend upstreaming from FP.** Supports the parent but is discretionary and erodes FP capital.

5 Goodwill. The FY2022 \$0.9bn Rail/Longwall impairment is a reminder of acquisition-related carrying-value risk.

7. Conclusion

CAT is a strong investment-grade credit. The industrial body (ME&T) is effectively near-unlevered on a net basis and highly cash-generative; consolidated leverage of ~2x reflects the captive finance book, not industrial risk. The credit's swing factors are end-market cyclicity and Financial Products (leverage, asset quality, and covenant coverage as rates move). This is consistent with the company's high single-A ratings (Moody's A2 positive / S&P A stable / Fitch A+ stable).

Sources. Financials FY2020–FY2024 from SEC Form 8-K, Exhibit 99.1 earnings releases (4Q 2021, 4Q 2023, 4Q 2024); supplemental ME&T/FP consolidating data from the same releases. Covenant data from Caterpillar Inc. FY2022 Form 10-K (cat-20221231.htm). Issuer ratings from Caterpillar Inc. Free Writing Prospectus, SEC EDGAR, May 2025. All figures as-reported. Prepared for analytical / educational purposes only; not investment advice.
